ST. MARY'S HIGH SCHOOL GAYAZA A' LEVEL ENTREPRENEURSHIP SEMINAR SCHEDULED ON SATURDAY 20TH JUNE 2026

PAPER ASSESSMENT STRUCTURE OF ENTREPRENEURSHIP EDUCATION IN ALEVEL ALLIGNED CURRICULUM

They are mainly 2 papers

(P230/1 and P230/2)

PAPER ONE (P230/1)

Duration 3 hours

It consists of 2 sections i.e section A and B.

Section A IS compulsory with 2 examinable items. These two examinable items shall come from construct one (C1)

Construct 1

Exploring entrepreneurial investment opportunities for development.

Item one; This is most likely to come from the following topics;

1. Introduction to entrepreneurship
2. Entrepreneurial environment
3. Business ideas and opportunities

Item two: This is most likely to come from

1. Small and medium enterprises (SMEs)
2. Social entrepreneurship

SECTION B

This will cover 2 examinable items coming from construct 3 (C3) **supporting business for sustainability** and learner attempts **one.**

Item 3

a. Insurance in business/capital market
b. Taxation

Item 4

a. Capital markets/insurance
b. taxation

NB;

1. That's the format as per now.
2. So, paper one as per now it has 4 items in total where two items are compulsory from section A and two items from section B where a learner is required to attempt only one

PAPER 2(P230/2)

Duration 3 hours

This covers 2 sections with 4 examinable items and a learner shall attempt 3 items and all items shall come from construct 2.

Section A shall cover two examinable items coming from production management and finance in an enterprise.

These two items are compulsory

Section B shall cover two examinable items coming from management topics. A learner shall attempt **one item.**

Item 3

- Business planning, (areas such as production plan, marketing plan, , management plan and financial plan should not be asked under business planning) i.e here we mainly focus on executive summary, general description of the business, action plan and the theory part.
- Business competition

Item 4

- Marketing in an enterprise
- Human resource in an enterprise.

NB: A learner will use business club and field trip experience to respond to all demands of the items in paper 2 and some areas of paper one.

Such experience will help a learner to solve a challenge at hand in the scenario. But A learner will not refer to them while answering items that is giving evidences. The learner will just use the experiences from there to solve a challenge at hand.

BREAKDOWN OF THE CONSTRUCTS

NO.			CONTENT BREAK DOWN
1.	**CONSTRUCT 1** Exploring entrepreneurial investment opportunities for development	**Topic 1** Introduction to Entrepreneurship	• Meaning of entrepreneurship and related general entrepreneurial concepts such as attributes, role of entrepreneurship etc. • Self-employment versus Paid employment • Coping with Change • Negotiation skills • Creativity skills • Innovation skills • Entrepreneurial motivation • Personal branding • Communication skills
2.	**CONSTRUCT 1** Exploring entrepreneurial investment opportunities for development	**Topic 2** Entrepreneurial Environment	• Meaning of entrepreneurial environment • Characteristics of entrepreneurial environment • Types of entrepreneurial environment and their influence on entrepreneurial activities. • Organizations supporting entrepreneurial activities in Uganda.
3.	**CONSTRUCT 1** Exploring entrepreneurial investment opportunities for development	**Topic 3** Business Ideas and Opportunities	• Sources of business ideas • Reasons to generate business ideas. • Factors considered when determining profitability and selection of a business idea • Procedures followed when evaluating profitability of a business idea. • Characteristics of a good business opportunity • Types of business opportunities • Steps followed when turning a business idea into a business opportunity.
4.	**CONSTRUCT 2** Managing a business for sustainability	**Topic 4** Business Planning	• Meaning of a Business plan • Rationale for writing a business plan • Components of a business plan and their practical preparation

			• Steps followed when preparing a business plan • Challenges of implanting a business plan
5.	**CONSTRUCT 2** Managing a business for sustainability	**Topic 5** Production in an Enterprise	• **The types of products produced by businesses** • The production process of a selected product • Factors affecting production decisions in business. • The concept of purchasing business requirements • Factors to be considered when purchasing raw materials • Steps to be followed in purchasing business goods and services • Inventory management • The concept of technology • Types of technology • Characteristics of appropriate technology • Factors that influence the choice of technology in business • Factors considered when selecting machinery, equipment, and tools for a business • Ways of ensuring proper machine use, maintenance, and handling in a business. • Mechanisms for controlling business assets • Ways of ensuring the production of quality products in business • Advantages of good time management and disadvantages /costs of poor time management • Ways of ensuring effective time management in business • Identify the production requirements and costs for a selected product and prepare a production budget • Measures to minimize production costs • Packaging concept and preparation of a packaging label

6.	**CONSTRUCT 2** Managing a business for sustainability	**Topic 6** Marketing in an Enterprise	• **Components** of marketing mix • **Potential** market • Target market • Market segmentation • Creative selling • Distribution channel • Sales promotion • Advertising with all the documents used in advertising including signposts, fliers etc.
7.	**CONSTRUCT 1** Exploring entrepreneurial investment opportunities for development	**Topic 7** Social Entrepreneurship	• Meaning of social entrepreneurship • Types of social entrepreneurship • Characteristics of social entrepreneurship • Importance of social entrepreneurship • Steps followed to become a social entrepreneur • Impacts of social enterprises • Preparation of social enterprise plan and theory of change • Threats caused by business on natural environment and strategies to manage these threats. • GEPIC Structure
8.	**CONSTRUCT 1** Exploring entrepreneurial investment opportunities for development	**Topic 8** Small and Medium Enterprises (SMEs)	• **Concepts of Small and Medium Enterprises** • Roles of SMEs • Reasons for high rate of failure of SMEs and solutions • Family businesses • Gender in Entrepreneurship
9.	**CONSTRUCT 3** Supporting business for sustainability	**Topic 9** Insurance in Business	• **Common terms used** in insurance business • Types of insurance policies • Principles used in insurance • Importance of insurance • Steps followed to acquire an insurance contract/policy • Steps to claim for compensation • Documents used in insurance • Challenges facing insurance and solutions

10.	**CONSTRUCT 3** Supporting business for sustainability	**Topic 10** Capital markets	• Role of capital markets • Key players of capital markets • Steps followed to access investment products in capital markets • Benefits of engaging in investment products • Benefits of listing a company • Capital raising options which include; **a)** Government Bonds **b)** Corporate bonds **c)** Shares etc.
11.	**CONSTRUCT 2** Managing a business for sustainability	**Topic 11** Human Resource in an enterprise	• Elements of HRM • Factors considered when deciding on the type and number of employees. • Sources of recruiting employees • Steps followed when recruiting employees • Job description and specification • Methods of paying workers and factors that determine workers payments • Measures of reducing labour turn over in an enterprise • Rationale and methods of training workers • Effectiveness and strategies of motivation/ remuneration/ employee performance appraisal **NB:** Learners should be exposing to documents used in HRM
12.	**CONSTRUCT 2** Managing a business for sustainability	**Topic 12** Finance in an enterprise	• Preparation of a Cash flow statement/ cash budget • Preparation of financial statements like income statements, balance sheet. • End of year adjustments e.g. payments, outstanding, depreciation and provisions etc. • Computing financial ratios and their interpretations e.g. profitability, efficiency, liquidity and solvency ratios.

13.	**CONSTRUCT 3** Supporting business for sustainability	**Topic 13** Taxation	Terminologies used in Taxation; • Principles of Taxation • Types of taxes • Tax compliance • Role of URA • Rights and duties of a tax payer • Computations of different taxes and these include; • Domestic taxes like; a) Corporation tax b) PAYE/ employment/Income tax c) Presumptive tax d) Rental income tax e) Withholding tax f) Value Added Tax (VAT) • Computation of International trade taxes, these include; a) Import Duty b) Excise duty c) VAT d) Withholding tax e) Environment Levy f) Infrastructural Levy
14.	**CONSTRUCT 2** Managing a business for sustainability	**Topic 14** Business Competition	• Meaning of business competition • Types of business competition • Factors considered when analyzing business competition • Effects of business competition • Ways to manage business competition

SEMINAR ITEMS

PART ONE

PAPER ONE ITEMS

SECTION A

Exploring entrepreneurial investment opportunities for development

Item 1:

PRIS runs a small business bakery in wandegeya city that supplies bread and pastries to schools and local shops. She started 3 years ago with one oven and has been growing slowly. The price of the flour and sugar has increased due to high taxes charged on them and this has disrupted production levels. She recently applied for a loan to buy a second oven but bank interests are very high. There is frequent power outages and roadways to village areas for local market are

impassable. Recently the district officials issued out a tender to Nana bakery to supply bakery products to all government schools.

The proprietor decided to introduce automated machines and computer-based systems in production process. Workers are now worried because they lack knowledge about running automated machines. Supervisors openly express dissatisfaction claiming that their views were ignored during introduction of new systems. Attendance records showed increased cases of lateness and dodging of work since inception of new practices.

Task:

a) Advise the government on the economic factors it can put in place to promote Nana's bakery.
b) Suggest appropriate measures the management of PRIS Bakery can adopt to improve the situation and ensure smooth implementation of new practices.

ITEM 2

Mansour Ssemanda commonly known as King Saha is one of the most popular talented singers Uganda has ever had. He started his career as a backup singer for Jose chameleon's Leon Island before establishing his own brand. He made his first professional song with dream studio called "signal" in 2011 using UGX 200,000 which he had saved from riding a bodaboda. In 2014, together with Baur made a break through song called "mulirwana". He always does tik tok challenges to promote his songs. After seeing Nigerians getting money from you tube he opened up a you tube channel with almost 2.94K subscribers lately. He has made collaborations with weasel, Winnie Nwagi, Fefe Busi to expand to new fan bases. According to UPRS records of 2024 he attended UPRS copy right workshop and national theatre. Currently king Saha is one of the most known artists in Uganda.

TASK.

a) Analyze the attributes that made king Saha a successful singer.

b) Discuss the economic variables that might have enabled king Saha to become a successful entrepreneur.

ITEM3

After being crowned the prom queen, Lydia was given ugx, 2,000,000 which she wants to use to start a restaurant in Gayaza in her S.6 vacation. she selected the idea because of the experience and skills acquired from her aunt's restaurant where she works in holidays. Her cousin brother has advised her to use the funds to start a salon or Restaurant, or any other. She is now confused on which idea should be selected as an opportunity.

Gayaza is an area with a lot of people but with different cultures, this has made the area to be associated with very many social cultural barriers that may affect her selected venture. Lydia must overcome such aspects for her business to be successful but she doesn't know how she is to deal with them.

Task.

You have been approached as a student entrepreneurship of education to advise her

a) select the suitable business opportunity for Lydia
b) help her find solutions for the social cultural barriers that might affect her selected business.

ITEM 4

Kidda and Gift are partners operating "GIK BAKERY' in kasangati trading center. Their business lacks customer care and this has affected their communication with both customers and suppliers and has also reduced their profits due to reduced sales. The couple wants to improve on their communication skills but they don't know what makes communication effective.

The community they are operating in has many opportunities in the market they can diversify into, there competitors like Grace Bakery, at times suppliers of wheat flour fail to meet the lead time, their working capital is not adequate to sustain their daily operations and customers' needs and tastes do change every time being a busy town. They have failed to summarize this information to know the nature of the environment they are working in

Task. Use your communication skills and entrepreneurial environment knowledge to advise the partners on;

a). what makes communication effective

b). the nature of environment they are working in

ITEM 5

QUIN KAT farm is the leading supplier of chicken on Gayaza road. The farm is owned by Kato and his wife Quinitah. It has 6 workers and are all family members. They enjoy taking drawings of chicken, they are incompetent and lazy at the same time. They always get mis understandings because some don't want to participate in the day to day running of the business. The farm is facing a challenge of inadequate working capital to finance the operations and their first-born Klaine a P.7 drop out who works as a financial manager has failed to find a solution to it. It has also been identified that their business is in dilemma for not being a socially responsible one.

Task. Using your knowledge of small and medium enterprises and social entrepreneurship help the business.

a). come up with measures that can revive the business

b). make the business socially responsible.

ITEM 6

Sharif is a 28-year-old graduate living in Lira City. He noticed that his community was struggling with two high youth unemployment problems and plastic waste clogging drainage channels and farm land. In 2025, sharif started Green Environment Uganda, a Small and Medium Enterprise that collects plastic waste and recycles it into low-cost paving bricks and dustbins.

He employs 10 youths who were previously unemployed. 30% of profits are used to run free waste management training in different areas. His business is registered and employs formal contracts, but he struggles with limited capital to buy modern recycling machines, competition from inconsistent supply of waste plastics.

An NGO approached Sharif to partner with him if he can show how his business creates both profit and social impact.

Task

a) Using your knowledge in entrepreneurship, inform the community on how Sharif's business is addressing the social concerns in Lira City.
b) Inform the community on the traits that make sharif's Green Environment Uganda a Small and Medium Enterprise.

SECTION B

SUPPORTING A BUSINESS FOR SUSTAINABILITY

ITEM 7

Sheilah Phones is a business that imports phones from the U.S.A and Germany for sale in Uganda. The business owns a vehicle that delivers customer orders. It employs four workers, but sometimes some workers steal phones and business money. This has reduced the profits of the business.

One day, the business vehicle was attacked while delivering a customer's order and some phones were stolen. The business also faces other risks such as fire outbreaks, burglary and damage to stock. Some customers buy phones on credit and fail to pay on time, causing losses to the business.

As the business continues to grow, Sheilah has been advised to insure the business and comply with tax requirements. However, she does not know the insurance policies suitable for her business, the principles of insurance she should follow, and the taxes her business is required to pay

Task

Using your entrepreneurial knowledge and skills, help Sheilah solve the challenges facing her business and improve its smooth operation.

ITEM 8

Marine Bakery Ltd is a public limited company owned by Marion and other shareholders. The company produces bread and other bakery products for the community. Recently, customer complaints about product quality have increased, and sales have reduced due to weak marketing activities. Management attributes these challenges to inadequate funds.

During a board meeting, the directors suggested inviting members of the public to invest in the company to raise additional capital. However, some shareholders are not sure how this decision could improve the performance of the business. An internal review also revealed that the company

has not been fully complying with tax requirements because the directors have limited knowledge of tax matters.

Task

As an Entrepreneurship Education student:

a) advise the proposed method of raising finance could help Marine Bakery Ltd improve its operations and achieve its business objectives.
b) Advise the directors on what they should do when dealing with tax authorities and what they can expect in return.

ITEM 9

Shebah owns a small juice processing business with 2 employees who earn Ugx. 8,400,000 annually each. This means that they fall under the income 4th Bracket as indicated below.

Income bracket per month	Tax rate
UGX. 410,000 per month and above	25,000 + 30% of the amount exceeding Ugx. 410,000.

Shebah has defaulted taxes for 2 years and URA claims for arrears. Last week, heavy rain caused flooding near the factory and water entered the production area and damaged almost all the products yet he has no insurance cover for such related business risks. She has invited you for technical advice.

Task:

a) Compute Sheba's income tax arrears to be submitted to URA.

b) Guide her on the procedures to acquire an insurance cover.

ITEM 10

Christine runs a clothing boutique in Kyengera with 6 employees. For the past 2 years, sales have been good, but she has not registered the business with Uganda Revenue Authority and has never been filing tax returns. She keeps sales records informally in a notebook and pays her workers in cash. Recently, the URA sent her a notice to register and pay outstanding taxes and interests. Christine has also noticed that suppliers are no longer interested in offering credit facilities to her business since she has no tax clearance certificate and URA frequently threatens to close her business and confiscate her property over tax defaulting. However, Christine seems not to be knowledgeable and aware of the consequences of her actions. Christine plans to expand her business but it needs extra finance which can be lobbied through issuing out shares. Christine needs guidance about the right players to link her up to the stock exchange market but she is failing to trace them.

Task:

a) Present the consequences Christine's business will face if she continues with her actions.
b) Inform Christine on the key players that can link her business to the stock exchange market.

ITEM 11

Mary Gracious owns **"AFWO FWO"** boutique in mawule town. She always buys the products from Dubai. Last month she imported a consignment of goods at a cost of USD 2,000, she paid transport and insurance of USD.700 and 1,000 respectively at an exchange rate of UGX. 3,800 per USD. The goods attracted an import duty of 30%, excise duty of 50%, VAT of 18% and withholding tax of 06%. She employs Twambale, Tunyume, Tukyakale and Tuzirye. The payment structure for the workers is as follows

Sn	Name of the employee	Monthly basic pay Ugx	Medical insurance cover per month Ugx	Monthly transport allowance Ugx
1	Twambale	240,000	50,000	30,000
2	Tunyume	350,000	200,000	30,000
3	Tukyakale	800,000	100,000	50,000
4	Tuzirye	12,000,000	150,000	200,000

The business carried out the following vat exclusive transactions in July 2025

i) Imported clothes from turkey worth Ugx. 12,000,000
ii) Sold clothes to Nicole boutique at a profit of 20%
iii) Nicole boutique sold all clothes to customers at a profit of 30%

Mary also owns rentals in kasangati, mpererwe and Gayaza and her earnings is as follows; Ugx. 300,000, Ugx. 400,000, Ugx. 200,000 monthly respectively.

Mary is in the process of becoming tax compliant but she doesn't know how much tax her employees are going to pay from their July earnings, the annual tax from the rentals and the indirect tax that is going to be charged at each stage

NOTE:

i. It's reported that the income earned from her rentals has a tax-free allowance income of Ugx. 235,000 per month and the tax rate is 12%

ii. The vat rate is 18%

iii. The monthly tax rates for employees are as below

Chargeable monthly income (Ugx)	Tax liability
0 - 235,000	Nil
235,000 – 335,000	10% of the amount by which chargeable income exceeds Ugx. 235,000
335,000-410,000	Ugx. 10,000 plus 20% of the amount by which chargeable income exceeds Ugx. 335,000
Above 410,000	a). ugx 25,000 plus 30% of the amount by which chargeable income exceeds ugx 410,000 b). where chargeable income exceeds ugx 10,000,000 an additional 10% is charged on the amount exceeding ugx 10,000,000

TASK: as a student of taxation computations help Mary to determine the relevant taxes she has to remit to URA.

ITEM 12 (TRIAL ITEM)

Kigula Julius operates Julius Kent Video Library and Events, a business that deals in movie distribution, sound hire and events management services. Recently, officials from the tax authority visited the business and discovered that it had not been complying with tax requirements. During the discussion, Julius expressed dissatisfaction with paying taxes and questioned whether taxpayers receive value for the taxes they pay.

Julius also revealed that his business faces several challenges. Money is sometimes lost while being transported to the bank, some employees steal business property, computers occasionally malfunction causing interruptions in service delivery, and the business is exposed to fire risks. In addition, members of the community have complained about noise from some events organized by the business.

As an Entrepreneurship Education student, you have been asked to advise Julius

Tasks

a) Suggest measures that could encourage Julius to willingly comply with tax requirements.
b) Recommend appropriate risk management measures that could help protect the business from the challenges highlighted in the scenario.

ITEM 13 (TRIAL ITEM)

Maurice Education Services Ltd is a business located in Wandegeya, Kampala and owned by Mr. Maurice Male, a 48-year-old graduate of education from Makerere University. While working as a head teacher, Maurice was known for being hardworking, creative, innovative, persistent, and committed to achieving results. He introduced several ideas that improved school performance, but his efforts were rarely appreciated by his employers. Seeing an opportunity in the growing demand for teacher training and school management support, he decided to leave employment and use his savings to start a business that offers educational consultancy services, teacher training, and educational materials.

As the business grew, Maurice introduced computers and new ways of doing work to improve service delivery. However, some workers started complaining about their salaries, while others reported late for work or missed work without permission. Some supervisors were unhappy because they were not consulted before the changes were introduced, and older workers found it difficult to use the new systems. As a result, workers became less motivated and business performance declined. Maurice is concerned about the declining performance and would like to understand how the employees' behaviour shows resistance to change and how it may affect the business

Task

a) Describe Maurice as an entrepreneur
b) Show the indicators of employees about the introduction of computers.

PART TWO

PAPER TWO P230/2

MANAGING A BUSINESS FOR SUSTAINABILITY

SECTION A

PRODUCTION IN AN ENTERPRISE AND FINANCE IN AN ENTERPRISE

ITEM 14

One of the biggest bakeries in Kasangati Town Council is MAI BAKERY owned by a successful entrepreneur called Mai Kaddu. The business sells to both customers who buy and pay promptly and those customers who promise to pay on a given future date. During your visit to this business as a group of S.6 Entrepreneurship students on 15th June 2026, you found out that the business wanted to make a formal order to Among Royce enterprises requesting it to supply 5 cartons of wheat flour each at 85,000 and 5 jerrycans of cooking oil of 20 litres each at 160,000 but the bookkeeper had failed to order for the goods because she had limited knowledge about documenting business transactions.

After interacting with you the entrepreneur discovered that you have some entrepreneurial knowledge. He has sent you semi organized information for her business via your patron's email for the year 2025.

Bakery products sold and cash was received promptly were UGX. 25,000,000.

Bread sold and customers promised to pay later UGX. 1,000,000

Out of the total sales made 5% was bread and cakes brought back to the business because they were expired.

40% of the sold goods were goods bought for resale by the bakery and out of these 2% were goods the business took back to supplier because they were damaged on transit. As the years 2024 and 2025 were ending, the business had products worth 7% and 5% of total goods sold respectively. In the year 2025, she paid UGX. 70,000 to a boda guy who transported the goods bought for resale and she also gave UGX. 50,000 to another boda-boda that transported a customer's product. 10% of the goods bought for resale the business just promised to pay for them on a future date. UGX 2,000,000 was spent on other expenses to help the business operations move on smoothly. The entrepreneur needs your help in knowing different aspects.

TASK. Using the knowledge you acquired from your school business club and the field trips you carried out;

a) Assist the entrepreneur to make a formal order for the goods he wanted.
b) Summarize and interpret MAI's records for the year 2025 in the following.
    i. Percentage of the profit made before expenses are catered for
    ii. Percentage of actual profits from sales made
    iii. Number of days MAI bakery takes to pay people who supplied goods on credit.
    iv. Number of weeks a business keeps goods before they are sold.
    v. How many times the business sold and replaced goods.
    vi. How many days a business takes to pay people who demand.
    vii. Check whether the business can meet its current debts using business current resources.

ITEM 15

You operate a school business club known as CREAM BAKERS AND JUICE PROCESSORS. Your market share is increasing but you face a challenge of passion fruits that doesn't meet the juice production standards and makes you make losses at times. Due to fixed school program you only operate once a week and only during normal school periods not in holidays. By the end of Third term 2025, your business had UGX. 300,000 with your treasurer.

Weekly goods sold throughout the first term of 2026 were UGX. 150,000, out of these 5% were sold and students promised to pay on the following day.

UGX. 28,000, UGX. 30,000 and UGX. 50,000 were invested in wheat flour, cooking oil and other ingredients on a weekly basis respectively. You received UGX. 300,000 from the school Director in the month of February. The business received a loan of UGX. 300,000 from the school patron in March which you are paying in three equal installments starting with April 2026 at an interest rate of 5% on reducing balance. The business donates chapatti worth UGX. 10,000 to staff members every week. The business plans to acquire a charcoal stove of UGX. 200,000 on hire purchase in the first month and a down payment of UGX. 50,000 was effected in the first month and the balance was to be paid in the ratio of 2:1 in the following months and this expected to depreciate monthly by 2%. Commission paid to 4 salespersons was UGX. 5,000 weekly per person. UGX. 60,000 is spent weekly on passion fruits

Your patron is concerned about how you are going to improve the quality of products and the available cash by the end of first term 2026, and he instructed you to come up with a writing.

TASK

a) Select the right passion fruits to use.
b) Determine the available cash by the end of first term using the three months.

ITEM 16

Due to limited finance, your school business club decided to get a loan from the school administration to help you purchase an oven to be used in producing bakery products. The club therefore approached the Head Teacher for financial support. During the discussion, the Head Teacher questioned the importance of spending money on an oven yet you could use other equipment. However, after further discussions, she approved a loan of UGX 1,000,000. The loan is to be repaid in five equal monthly installments starting in May 2026, with interest charged at 2% per month on the reducing balance.

The Head Teacher also noted that the club had recently acquired a dough mixer, baking trays, and other equipment. She advised the members to put in place measures to protect these machines from damage, theft, and misuse.

TASK

a) prepare a suitable record that can help the club monitor the loan balance and repayment progress.
b) As a store manager, manage machines well.

ITEM 17

Leah Farm is located in Kijabijjo – Gayaza Road in Wakiso district. The Farm is now owned and operated by Nalukenge Bridget Leah, a daughter to the Late Lukenge Sharif. By the end of the year 2025, Leah summarized her financial transactions as below. Her records show, Land, buildings, machinery and equipment at a total UGX. 1,128,808, there is UGX. 13,555 as physical money in the Farm premises, UGX. 34,556 as money owed to Farm by milk buyers, goods available in the business by the end of 2025 were UGX. 14,506 and prepaid insurance of UGX. 5,556. The business got a short-term loan of UGX. 25,000 and UGX. 9,222 owed to employees on the farm. There is also a mortgage of UGX. 505,000. The income received from goods sold amounted to UGX. 278,898 and the direct cost of products sold was UGX. 131,300. The expenses incurred include UGX. 131,931. Leah has limited skills on how to check the profitability and the financial position of the business and she wants your assistance.

TASK

a) Check whether 2025 was profitable for Leah
b) Determine the financial position of the business.

SECTION B

Business planning

Marketing in an enterprise

Business competition

Human resource in an enterprise

ITEM 18

Ndagire Victoria runs NYAMA NSAVA Restaurant in Kasangati. She always buys her raw materials from Gayaza Market. Recently she has discovered that her sales are declining due to limited cooking skills of her employees and stiff competition from Queen Stacy Take-Away.

She lacks knowledge on how to analyze the marketing opportunities in the community. Ndagire would also like to equip her employees with skills but she doesn't know the procedure to follow.

TASK. Using the skills you acquired from your school business clubs and the field trips help Ndagire to;

a) Equip her employees with skills.
b) Deal with competition
c) Analyze the marketing opportunities in the community.

ITEM 19

Kato Quinitah is an entrepreneur who operates Quinitah Carpentry Workshop in Kiti Trading Centre. He produces chairs, tables, dining, beds among other carpentry products. His business is not known outside Kiti area because he doesn't advertise and his employees are also not encouraged to work hard for better productivity because they are not motivated. He has approached you for help.

TASK. Using the knowledge of field trips or school business club activities, help Kato Quinitah to;

a) Encourage his employees to work hard for better productivity
b) Make his business known outside Kiti.

ITEM 20

The Cream Bakery Project, a school business club, has been selling more products than before. However, members have realized that the business is running short of money and making very little profit.

During a review meeting, several problems were identified. One member used 1½ litres of cooking oil to fry only 3 kilograms of beans, while some chapattis were much bigger than those sold in the school canteen. As a result, production costs became high and the quality of products was not consistent. The club leaders also noticed that some members involved in production lacked the skills and experience needed to use resources carefully, they were advised to recruit another person but they don't know what factors they should consider when hiring this person.

In addition, although many students liked the bakery products, the marketing team rarely advertised them, did not seek customer feedback, and had not introduced any new ways of attracting customers.

The club president has therefore called a meeting to discuss how the project can reduce losses and improve profits.

TASK

As a member of the management committee, recommend measures that the club should take to:

a) select a suitable person for actual production.
b) Attract more customers and improve the performance of the business without reducing its profits.

ITEM 21

The **school juice processing project** produces fresh juice for students and teachers. The project has a good market because many learners buy its products. However, the Head Teacher is not fully aware of what the business the club is operating and how it is managed and therefore she needs to look at a summary that brings an over view of the business operations.

The Head Teacher is also concerned about how the project identifies and understands the different customers it serves within the school.

The club patron has therefore asked you to explain to the Head Teacher how the project operates and how it remains successful in the school environment.

TASK

Help the Head Teacher understand:

a) The summary of business you are engaged in within the school.
b) How the project identifies and understands the needs of its customers before selling to them.

ITEM 22

The Senior Five Entrepreneurship students of your school want to start a bakery project as a school business. However, before starting the project, they want to know whether students and teachers will buy the bakery products. They also need information about the types of products customers would prefer and the prices they are willing to pay.

The patron realized that there is a need to prepare a document that shows the operational and financial objectives of the business and how those objectives are to be realized. When told to prepare the document, students said they see no benefit for the preparation of the document.

The club patron has therefore requested you to guide the students on what should be done before the project starts.

Task

a) Advise the students on how they can obtain the views and opinions of potential customers before starting the bakery project.
b) Show the students the benefit of preparing a document they don't want to prepare.

END

SAMPLE RESPONSES FOR PAPER ONE SEMINAR ITEMS

ITEM 1

a). Advice to the government on economic factors that can promote PRIS Bakery

- Reduce taxes on production inputs. The government should reduce taxes on flour, sugar, fuel, and baking equipment so that production costs become lower.

- Provide low-interest loans. Government should encourage banks to provide affordable loans with low interest rates to small businesses like Pris Bakery.
- Improve transport infrastructure. Roads leading to villages and market areas should be repaired to ease transportation of raw materials and finished bakery products.
- Ensure reliable electricity supply. Government should improve power supply to reduce frequent electricity outages that interrupt production.
- Provide subsidies to SMEs. Small businesses should be supported with subsidies on machinery, electricity, or production inputs to increase output.
- Encourage investment in technology. Government can support businesses introducing automated machines through tax holidays and grants.
- Create a stable economic environment. The government should control inflation so that prices of flour, sugar, and other inputs remain stable.
- Support local industries. Policies promoting local production of wheat and sugar can reduce dependence on imports and lower prices.
- Expand market opportunities. Government should continue giving tenders to local businesses like Pris Bakery to increase sales and growth.
- Provide entrepreneurship and technical training. Government can organize training programs to help workers and managers adapt to modern production systems.

b). Measures PRIS Bakery management can adopt to improve the situation and ensure smooth implementation of new practices

- Training workers on automated machines. Employees should be trained on how to operate the new machines and computer-based systems.
- Involving workers and supervisors in decision-making. Management should consult workers and supervisors before introducing major changes to reduce resistance.
- Improving communication. Management should clearly explain the benefits of the new systems to workers and supervisors.
- Motivation of workers. Workers can be motivated through incentives such as bonuses, promotion, allowances, and recognition.
- Introducing changes gradually. New systems should be implemented step by step to give workers enough time to adjust.
- Offering counseling and guidance. Employees who fear losing jobs due to automation should be guided and reassured.
- Strengthening supervision and monitoring. Management should monitor attendance and work performance to reduce lateness and dodging of work.
- Recruiting skilled personnel. The bakery can hire technicians or computer experts to support workers during implementation.
- Encouraging teamwork. Management should promote cooperation between supervisors and workers to improve workplace relationships.
- Developing clear work policies. Rules regarding attendance, responsibilities, and machine usage should be clearly communicated to all workers.

ITEM 2

a). The following are the attributes that made king Saha a successful singer.

i. **Risk taker**: King Saha used Ugx 200,000 which he had saved from riding a boda boda to produce his first song "signal" without knowing whether it will succeed or fail.
ii. **Persistent:** King Saha started as a backup artist but he never gave up until he established his own brand which made him popular hence becoming successful.
iii. **Creativity**: He is able to compose songs such as signal and mulilwana which attracted a big market hence becoming popular and a successful singer.
iv. **Opportunity Seeker**: He saw Nigerians getting money from YouTube and he opened up a YouTube channel which made his music to be subscribed hence increasing his market share.
v. **Networking**: He made collaborations with Weasle, Winnie Nwagi, Fefe Busi to expand his far base thus making him a successful singer.
vi. **Persuasive;** He made tik tok challenges to promote his music which increased his market share thus becoming a successful singer.
vii. **Information seeker**: He attended UPRS copyright workshop at National Theatre to get information which he used to protect his music from duplicators

b). The following are the economic variables that might have enabled King Saha to become a successful entrepreneur.

Favorable economic policy: Favorable economic policy such as a free-market economy that allowed King Saha to enter into the music industry without any restriction has enabled him to compose his music freely hence becoming a successful entrepreneur.

Developed Infrastructure: Such as good roads, reliable electricity which facilitate the use of modern technology in studios enabling King Saha to produce music that can compete. Such good music has made him create a good brand and compete.

Minimal legal requirements: King Saha did not need to follow long procedures to start his music career since he had a talent which made him carry on his music career easily hence success.

Low cost of business start-up: King Saha used only UGX 200,000 to produce his first song which was affordable to him

Presence of resources: Resources such as machines and equipment used to produce music are readily available in the country hence making it easy for King Saha to produce his music from producers like Buar.

ITEM 3

a). **An item taker should select a business opportunity and give reasons to back up the selected business opportunity**

Lydia should start a restaurant because of the following reasons

Availability of capital. The available cash of ugx 2,000,000 which she was given after being crowned prom queen can be used to purchase required assets and pay for other pre operating expenses like business registration

Availability of market. Gayaza being over populated creates a high demand for food from people, this increases sales hence increased profits.

Availability of skills and experience. Lydia has been working in her aunt's restaurant during holidays which has equipped her with skills of how to operate a restaurant.

Personal interests. Lydia has passion in establishing a restaurant, this will ensure lead to business success.

Availability of resources. Resources like space where to put the business is available near total petrol station, food inputs can easily be got from Gayaza, labour can easily be got due to many people, this will make business operations easy hence its success.

Government policy on the restaurant business. Selling meals is one of the acceptable legally binding businesses in Uganda therefore its registration will be very easy hence easing business start-up.

b). **below are the solutions to the social-cultural barriers that might affect Lydia's restaurant**

Requesting for financial support. Lydia can write a proposal to different institutions in the community like Sacco's, banks requesting for funding to boost the restaurant's activities. This will increase her working capital hence better performance

Adhering to cultural norms when operating the restaurant. Lydia should mainly prepare meals that are most preferred in Gayaza. This will provide her business with market hence its development.

Ensuring self-identification. She should take pride in owning a restaurant. This will inspire others to join and offer necessary support

Involving family members in the running of the business to obtain social support and acceptance.

Learning from role models. Lydia should get inspiration from other business people like her aunt to start and improve her business.

ITEM 4

a). **An item taker should present the principles of effective communication**

below is what should make their communication effective;

clarity. They should use words and language that customers and suppliers understand to make communication effective

completeness. They should ensure that their communication carries all relevant facts needed by the receiver. This helps the receiver to know what the sender actually intended to communicate

correctness. They should make sure that the information they are communicating is true to avoid misleading the receiver. This will win them customer loyalty hence becoming successful.

Conciseness. They should not send lengthy information to customers and suppliers rather brief with all fact's information should be send for effective communication to take place.

Concreteness. Vague and boring information should not be sent to customers and suppliers. The information spent should be interesting so that they always attract the audience.

Consideration. They should put their receivers in their minds as they are communicating, they should avoid hurting the receivers by not using negative words.

Courtesy. They should be sincere but not shying away from the matter under discussion.

b). **an item taker should present the characteristics of an entrepreneurial environment**

below is the nature of the environment they are operating in;

uncertainty. Their environment is characterized by many unknown risks like competition and failure of suppliers to meet the lead time which affects business operations.

Resource scarcity. The resources needed for the success of the business like raw materials and capital are scarce. Which leads to choice and opportunity cost which affects the business.

Flexibility. The environment is ever changing due to changing customers and tastes

Opportunity orientation. There are many market opportunities that they can diversify into for business sustainability

ITEM 5

a). **below are the measures the owners can take to revive their businesses**

encouraging proper financial management by employing a skilled financial controller to maintain appropriate financial records than their first born klaine who is ignorant

having clearly written down succession plans to transfer leadership from one family member to another

encouraging joint funding for family business to solve the challenge of limited capital.

Enforcing a saving culture among family members to avail funds for their business

Hiring experts to guide in fields of management, laws, finance among others

Managing workers discipline by developing a code of conduct and putting in place disciplinary committee to handle stubborn family members.

Building a culture of proper decision making in the family through organizing regular meetings.

Sponsoring family members for further training in business managerial skills.

b). **below are the ways how a business can be socially responsible;**

sponsoring community games, health and schools and contributing to other community development programs

protecting the environment by planting trees in their farm

participating in massive cleaning of the community to promote hygiene

promoting unity and harmony in community through adopting good business ethics to all parties.

Facilitating positive thinking and development of positive attitudes about business in the society by enhancing creativity and innovation.

Reducing the harmful effects of business activities on the natural environment by recycling products, purifying wastes before disposal.

Ensuring sustainability of the good business practices in the society for example fair pricing, supplying of chicken, supplying quality goods and customer care.

Acting as a center for training of local man power

Providing market to society's outputs like agricultural product.

Providing education/training facilities like helping students and researcher in carrying out activities.

ITEM 6

a) **How sharif's business is addressing social concerns in Lira City**

- Creating employment opportunities. sharif's business has employed 10 youths who were previously unemployed, helping to reduce youth unemployment in Lira City.
- Reducing plastic waste pollution. The business collects and recycles plastic waste, helping to reduce garbage in drainage channels, roads, and farmland.
- Improving sanitation and public health. By removing plastic waste from the environment, the business helps to prevent poor sanitation, flooding, and diseases caused by blocked drainage systems.
- Promoting environmental conservation. Recycling plastic waste into paving bricks and dustbins helps to protect the environment from pollution and land degradation.
- Providing affordable products to the community. The business produces low-cost paving bricks and dustbins which are affordable to many people in the community.
- Promoting entrepreneurship among youths. sharif acts as a role model to other young people by showing that businesses can solve community problems while generating income.
- Offering free waste management training. The business uses 30% of its profits to provide free training on waste management, helping people gain knowledge and skills on environmental conservation.
- Encouraging community responsibility. The business encourages community members to properly collect and dispose of plastic waste for recycling.
- Supporting sustainable development. The business balances profit-making with environmental and social responsibility, promoting sustainable development in the community.
- Reducing poverty levels. The incomes earned by the employed youths help improve their standards of living and reduce poverty in the area.

b) **Traits that make Green Environment Uganda a Small and Medium Enterprise (SME)**

- Small number of employees. The business employs only 10 workers, which falls within the Ugandan SME range of 5–50 employees.

- Small capital employed. Okumu faces challenges of limited capital and cannot easily buy modern recycling machines, showing that the business operates with limited financial resources.
- Small annual sales turnover. The business is still operating on a relatively small scale, meaning its annual sales turnover is not very high compared to large companies.
- Use of simple technology. Green Environment Uganda lacks modern recycling machines and therefore mainly uses simple technology and labour-intensive methods.
- Simple registration/legal form. The business is formally registered and uses formal contracts, which is common among organized small and medium enterprises.
- Temporary or limited premises. As a growing SME, the business is likely to operate in limited working space due to inadequate funds for large permanent premises.
- Low energy consumption. Because the scale of production is still small, the business consumes limited amounts of electricity and fuel.
- Small land or space occupied. The business occupies a relatively small area for collecting and recycling plastic waste.
- Low volume of production. The enterprise produces a limited quantity of paving bricks and dustbins compared to large manufacturing industries.
- Serves a local market. The business mainly operates within Lira City and nearby areas.

SECTION B

BUSINESS SUSTAINABILITY

ITEM 7

Sheilah phones should take the following insurance policies;

i. Goods in transit insurance policy to cover against robbers who attack the business delivery vehicle while delivering phones.
ii. Fidelity guarantee insurance policy which safe guards against dishonesty of the workers who steal business funds and products.
iii. Bad debts insurance policy to cover against customers who take goods on credit and fail to pay as promised
iv. Employers' liability insurance policy to safe guard against injuries sustained by workers during work at the business premises.
v. Fire insurance policy to cover against fire outbreaks that may affect the business
vi. **Insurance principles she has to follow while insuring her business**
vii. **Proximate cause.** She will only be compensated if the risk that has caused the loss is related or connected to the risk insured.
viii. **Insurable interest.** She has to only insure a property where she has interest that incase a loss happens, she's the one to feel that loss.
ix. **Utmost good faith.** She will only be compensated when she provides all the relevant facts of about the property she is to insure to the insurer to enable accurate computations of the premium.
x. **Indemnity.** If the risk happens the insurer will only take Sheilah back to the financial position she was in before the occurrence of the loss.

xi. **Subrogation.** After full compensation the insurer will take the rights or ownership of the destroyed or damaged property.

Taxes Sheilah phones is supposed to pay;

i. VAT on the items bought and sold
ii. Corporation tax on the business profits
iii. Trading license to the local authorities to allow the business obtain a license that allows it to operate legally
iv. Pay as you earn on employee's taxable income
v. Import duty on imported phones
vi. Excise duty on phones sold in the country

ITEM 8

a) **The following are the benefits of sale of shares as a source of finance;**

i. It improves credibility and trust. Businesses that get capital through shares are stable and usually trusted by banks and other institutions due to large/ strong share capital.
ii. It saves a business from interest burden. Bank loan monthly interest that drain businesses are not attached on shares which increases profits.
iii. It builds members discipline and ownership. Shareholders are not just customers but are owners; they therefore comply with all business regulations.
iv. It strengthens borrowing power. Businesses with bigger capital base can safely take bigger loans.
v. It provides permanent capital; there is no repayment of capital obtained from sale of shares which strengthens the business.
vi. It promotes sharing of business risks. In case the bakery faces risks of losses, they are spread among the many shareholders.
vii. It enables the business to get more skilled people and connections community members come with different skills and connections in terms of new customers and supplier links hence developing the business.

b). The following are the obligations of a tax payer.

- **Registration**. A tax payer shall register voluntary with Uganda Revenue Authority.
- **File correct Returns and Entries**. A tax payer shall file, correct returns, customs entries or any other form relating to taxes at the right time and place as required by law.
- **Tax payment**. A tax payer shall pay correct tax at the time right time and place as required by the relevant laws.
- **Cooperation with the authority.** In handling tax matters, a tax payer shall be expected to deal and cooperate only with the authorized staff.
- **Quotation of TIN**. A tax payer shall always quote his or her Tax Identification Number for all dealings with URA for proper identification.

- **Disclosure of information**. A tax payer shall make full disclosure of information and correct declaration of all transactions at all times to URA.
- **Declaration of Goods**. A tax payer shall declare goods on arrival and have them ready for inspection to avoid indulging in any form of tax invasion and other illegal practices.

The following are the rights of a Tax Payer.

- ✓ **Equity.** A tax payer has a right to tax laws and procedures to be applied consistently without any discrimination.
- ✓ **Confidentiality.** A tax payer's tax affairs shall be kept secret including the tax information and to be used in accordance with the law.
- ✓ **Facilitation of Tax Compliance.** A tax payer and his agent shall be provided with clear, precise and timely information about their inquiries and maintained up to date.
- ✓ **Accountability.** A tax payer's account shall be promptly updated for the tax paid and maintained up to date.
- ✓ **Customer care.** A tax payer shall always receive excellent customer care with the URA staff code of conduct.
- ✓ **Tax Refund.** Where tax refund id to be made, it shall be made within the prescribed time limits under the law subject to budget refunds limit.

ITEM 9

a) **Computation of shebah's income tax arrears**

Step 1: Calculate monthly income

Annual salary for each employee = UGX 8,400,000

Monthly salary:

$$\frac{8{,}400{,}000}{12} = 700{,}000$$

Monthly income = **UGX 700,000**

PAYE = Shs 25,000 + 30% (shs 700,000 – shs 410,000)

PAYE = Shs 25,000 + 30% X shs 290,000

PAYE = Shs 25,000 + shs 87,000

PAYE = Shs 112,000

Monthly PAYE per employee = **shs 112,000**

Calculate annual PAYE per employe = shs 112,000 × 12 = shs 1,344,000

Annual PAYE per employee = **shs 1,344,000**

Calculate PAYE for 2 employees for 2 years = shs 1,344,000 × 2 × 2 = shs 5,376,000

shebah's income tax arrears = shs 5,376,000

b) **Procedures shebah can follow to acquire an insurance cover**

- **Identify the business risks**. shebah should identify risks affecting the business such as fire, flooding, theft, accidents, and damage to products.
- **Determine the type of insurance needed**. She should choose suitable insurance policies such as property insurance, fire insurance, flood insurance, or business interruption insurance.
- **Search for an insurance company**. shebah should approach licensed insurance companies to compare services, premiums, and policies offered.
- **Seek professional guidance**. She may consult an insurance broker or agent for advice on the best insurance cover for her business.
- **Fill in an application form**. The business owner should complete the insurance application form with correct business details.
- **Provide required documents.** Documents such as business registration certificates, identification documents, and property valuation reports may be required.
- **Assessment of business risks**. The insurance company may inspect the business premises to assess the level of risk.
- **Agree on terms and conditions.** shebah and the insurer should agree on the premium, compensation limits, and conditions of the policy.
- **Pay the insurance premium**. She should pay the agreed premium either monthly, quarterly, or annually.
- **Receive the insurance policy document**. After payment, the insurer issues an insurance policy document showing the coverage and terms of the agreement.

ITEM 10

a) **Consequences Christine's business will face if she continues with her actions**

- **Payment of penalties and interest**. Since Christine has never registered with URA and has not been filing tax returns for the last 2 years, URA will continue charging penalties and interest on the unpaid taxes, increasing the business debt.
- **Closure of the business**. URA may close Christine's clothing boutique because of failure to register the business and comply with tax requirements.
- **Confiscation of property**. As already threatened by URA, business assets and property may be seized to recover unpaid taxes.
- **Loss of business reputation**. Suppliers and other stakeholders may lose trust in Christine's business because it is not tax compliant and lacks a tax clearance certificate.
- **Failure to access credit facilities**. Suppliers are already refusing to offer goods on credit due to lack of a tax clearance certificate, and banks may also deny loans.
- **Legal action by URA**. Christine may face court cases and legal penalties for tax evasion and failure to comply with tax laws.
- **Limited business expansion opportunities**. Christine's plan to expand the boutique may fail because investors and financial institutions prefer legally compliant businesses.
- **Disqualification from government tenders**. Without a tax clearance certificate, Christine's business cannot qualify for government contracts and tender opportunities.
- **Poor financial management**. Keeping sales records informally in notebooks and paying workers in cash may lead to poor accountability, fraud, and inaccurate financial records.
- **Difficulty attracting investors.** Potential investors may avoid investing in Christine's business because it is not properly registered and does not comply with tax regulations.

- **Risk of business failure**. Continuous tax penalties, poor record keeping, lack of credit facilities, and legal pressure from URA may eventually lead to collapse of the business.

b) **Key players that can link Christine's business to the stock exchange market**

- **Stockbrokers.** These are licensed agents who buy and sell shares on behalf of investors and companies in the stock exchange market.
- **Investment advisors**. They provide guidance on investment opportunities, issuing shares, and joining the stock market.
- **Uganda Securities Exchange** (USE). Uganda Securities Exchange. This is the organized market where shares and securities are bought and sold in Uganda.
- **Capital Markets Authority** (CMA). This body regulates and supervises activities in the capital markets and guides companies intending to issue shares.
- **Commercial banks.** Banks help businesses access financial advice, investment services, and connections to stock market players.
- **Investment banks**. These institutions help companies raise capital by issuing shares and securities to the public.
- **Fund managers**. They manage investments on behalf of individuals and organizations and can connect businesses to investors.
- **Financial consultants**. These experts advise businesses on financial restructuring and requirements for joining the stock exchange market.
- **Legal advisors**. Lawyers help businesses meet legal requirements involved in issuing shares and stock market listing.
- **Accountants and auditors**. Professional accountants prepare financial statements and audit reports required before a business can join the stock exchange market.

ITEM 11

TWAMBALE

Monthly chargeable income = Basic Pay + Transport allowance
= UGX .240000+UGX. 30000
= UGX. 270,000

Tax payable = 10% of the amount by which chargeable income exceeds UGX. 235000

$$= \frac{10}{100} \text{ x } (270{,}000 - 235{,}000)$$
$$= \frac{10}{100} \text{ x } 35000$$
= UGX. 3,500

Therefore, Twambale pays UGX. 3,500 as the PAYE.

TUNYUME

Monthly Chargeable income = UGX. 380,000 + UGX. 30,000
= UGX. 380,000

Tax payable = UGX. 10,000 plus 20% of the amount by which chargeable income exceeds UGX. 335,000

$= \text{UGX. } 120000 + \frac{20}{100} \text{ x } (380{,}000 - 335{,}000)$

$= \text{UGX. } 10000 + \frac{20}{100} \text{ x } 45{,}000$

$= \text{UGX. } 10000 + 9000$

= UGX. 19,000

Therefore, Tunyume pays UGX. 19,000 as PAYE.

TUKYAKALE

Monthly chargeable income = UGX. 800,000 + 50,000
=UGX 850,000

Tax payable = UGX. 25000 + 30% of the amount by which chargeable income exceeds UGX 410000

$= \text{UGX. } 25000 + \frac{30}{100} (850{,}000 - 410{,}000)$
$= \text{UGX. } 25{,}000 + \frac{30}{100} \text{ x } 440{,}000$
$= \text{UGX. } 25{,}000 + 44{,}000$

= UGX. 69,000

Therefore tunyamale pays UGX. 69,000 as PAYE

Tuzirye

Monthly chargeable income = UGX. 12,000,000 + 200,000

= 12,200,000

(a)

Tax payable = UGX. 25,000 + 30% of the amount by which chargeable income exceeds UGX. 410,000

$$=\text{UGX. } 25{,}000 + \frac{30}{100} \text{ x } 11{,}790{,}000$$

$$=\text{UGX. } 25{,}000 + 3{,}537{,}000$$

$$=\text{UGX. } 3{,}562{,}000$$

(b)

Tax payable = 10% of the amount that exceeds UGX. 10,000,000

$$= \frac{10}{100} \text{ X (12,200,000 – UGX. 10,000,000)}$$

$$= \frac{10}{100} \text{ x UGX. } 2{,}200{,}000$$

$$= \text{UGX } 220{,}000$$

Tax payable = (a) + (b)

= UGX. 3,562,000 + UGX. 220,000

= UGX. 3,782,000

Therefore, Tuzirye pays UGX. 3782000 as PAYE

RENTAL TAX

Gross Rental Income = Kasangati + Mpererwe + Gayaza.

= UGX. 300,000 x 12 + UGX. 400,000 x 12 + UGX. 200,000 x 12

= UGX. 3,600,000 + 4,800,000 + 2,400,000

= UGX. 10,800,000.

Taxable Rental Income = gross rental income - expenses

=10,800,000 –2,820,000

= UGX. 7,980,000

Rental Tax payable = 12% of the chargeable income

$= \frac{12}{100}$ x UGX. 7,980,000

= UGX. 957,000

VALUE ADDED TAX (VAT)

STAGE I

VAT will be charged on importation price.

VAT Rate = 18%

VAT Payable = VAT Rate x purchases

$= \frac{18}{100}$ x UGX. 12,000,000

=UGX. 2,160,000

STAGE II

VAT Payable = VAT Rate (sales -purchases)

But sales = purchases + profit

Profit = $\frac{20}{100}$ x 12,000,000

= UGX. 2,400,000

Selling Price = 12,000,000 + 2,400,000

= UGX. 14,400,000

VAT Payable = $\frac{18}{100}$ x (14,400,000 – 12,000,000)

$= \frac{18}{100}$ x 2,400,000

= UGX. 432,000

STAGE III

VAT payable = vat rate (sales -purchases)

Profit = $\frac{30}{100}$ x UGX. 14,400,000

= UGX. 4,320,000

Selling price = 1,4400,000 + 4,320,000

= UGX. 1,8720,000

Vat payable = $\frac{18}{100}$ x (18,720,000 – 14,400,000)

$= \frac{18}{100}$ x 4,320,000

= UGX. 777,600

Total vat payable from the 3 stages = UGX. (65000 + 126000 + 777600)

=UGX. 910,100

CUSTOMS DUTIES

Step1

Computing customs value

Customs value= CIF X EXCHANGE RATE

=3700 X 3,800

=UGX 14,060,000

Step2

Computing import tax

Import tax =Import tax rate X customs value

=30/100 X 14,060,000

= 0.3 X 14,060,000

= ugx. 4,218,000

Step 3

Computing excise duty

Excise duty= Excise duty rate X excise duty value

But excise duty value= customs value + import duty

= 14,060,000 + 4,218,000

= ugx 18,278,000

Excise duty = 50/100 X 18,278,000

= UGX 9,139,000

Step 4

Computing vat

Vat= vat rate (excise duty value + excise duty)

$= 18/100(18{,}278{,}000 + 9{,}139{,}000)$

$= 0.18$ X 27,417,000

$=$ UGX 4,935,060

Step 5

Computing withholding tax

Withholding tax= withholding tax rate X customs value

$= 6/100$ X 14,060,000

$=$ UGX 843,600

END

ITEM 14

a) An item taker is supposed to prepare a quotation letter

MAI BAKERY

P.O BOX 111, KASANGATI

TEL 0701234567

Date: 15th June 2026

TO: AMONG ROYCE ENTERPRISES

PURCHASE ORDER

Kindly supply and deliver to us with the following items

No	ITEM	QUANTITY	UNIT COST UGX	AMOUNT UGX
1	Wheat flour	5 cartons	85,000	425,000
2	Cooking oil	5 jerry cans of 20 litres	160,000	800,000
	TOTAL			1,225,000

Terms and conditions:

1. Delivery date: 20th June 2026
2. Delivery place: business premises
3. Terms of payment: cash at delivery

We look forward to hear from you.

i. **Gross Profit ratio** $= \frac{\text{Gross Profit}}{\text{Net Sales}} \times 100$

But Gross Profit = Net Sale s – cost of Sales

Cost of Sales = Goods available for Sale – Closing Stock

Goods available for Sale = Opening Stock + Net Purchases

Net purchases = Purchase + Carriage on purchases – Return Outwards

= 10,400,000 + 70,000 – 208,000

= 10, 470, 000 – 208,000

Net Purchases = UGX. 10,262,000

Goods available for Sale = Opening Stock + Net Purchases

$= 1{,}820{,}000 + 10{,}262{,}000$

Goods available for Sale = UGX. 12,082,000

Cost of Sales = Goods available for Sale – Closing Sock

$= 12{,}082{,}000 - 1{,}300{,}000$

Cost of Sales = UGX. 10,782,000

Gross Profit = Net Sales – Cost of Sales

Net Sales = Sales – Return inwards

$= 26{,}000{,}000 - 1{,}300{,}000$

Net Sales = UGX. 24,700,000

Gross Profit = Net Sales – Cost of Sales

$= 24{,}700{,}000 - 10{,}782{,}000$

Gross Profit = UGX. 13,918,000

Gross Profit ratio $= \frac{\text{Gross Profit}}{\text{Net Sales}} \times 100$

$= \frac{13{,}918{,}000}{24{,}700{,}000} \times 100$

$= 56.3 \approx 56\%$

Interpretation: for every UGX 100 generated from sales, approximately UGX 56 is a profit made before operating expenses were catered for.

Analysis: This means that the direct production costs were well-controlled and it leaves a room to pay for operating expenses.

Advise: To maintain or boost this margin, an entrepreneur should regularly negotiate with suppliers for discounts on bulk purchases or stream line production processes to lower direct costs.

ii. **Net Profit ratio** $= \frac{\text{Net Profit}}{\text{Net Sales}} \times 100$

But net profit = Gross profit – Expenses

Expenses = other expenses + Carriage outwards

$= 2{,}000{,}000 + 50{,}000$

Expenses = UGX. 2,050,000

NET PROFIT = Gross Profit – Expenses

$= 13{,}918{,}000 - 2{,}050{,}000$

Net profit = UGX. 11,868,000

Net Profit ratio $= \frac{11,868,000}{24,700,000}$ x 100

$= 48\%$

Interpretation: for every UGX 100 generated from sales, UGX 48 is actual profit made

Analysis: The bakery has a high efficiency evidenced by excellent control over the operating costs and overheads unfortunately this kind of profit attracts competitors

Advise: To maintain and boost this profit, the entrepreneur has to keep her profit exact drivers, track costs weekly not yearly, protect quality, sell more to existing customers, diversify in higher margin products, negotiate bulky among others

iii. **Creditors Payment Period** $= \frac{\textbf{Creditors}}{\textbf{Net Purchases}}$ **x Number of Days**

$= \frac{\textbf{11,868,000}}{\textbf{24,700,000}}$ **x 365**

$= \underline{\textbf{36.9} \approx \textbf{40 Days}}$

Interpretation: The bakery took approximately 40 days to pay off its creditors in the year 2025

Analysis: This credit payment period shows a favorable position to optimize working capital

Advise: A credit payment of 40 days gives mai bakery extra time to sell inventory and generate revenue before the supplier is paid the entrepreneur should avoid treating the supplier as an indefinite source of free credit to prevent damaging the relationship.

iv. **Holding Period** $= \frac{\text{Average Stock}}{\text{Cost of Sales}}$ x Number of Weeks

But Average Stock $= \frac{\text{Closing Stock+Opening Stock}}{2}$

$= \frac{1,300,000+1,820,000}{2}$

$= \frac{3,120,000}{2}$

$= \underline{\text{UGX. 1,560,000}}$

Holding Period $= \frac{1,560,000}{10,782,000}$ x 52

$= \underline{7.5 \approx 8 \text{ weeks}}$

Interpretation: The business held stock for approximately 8 weeks before it was sold

Analysis. For a bakery business a turnover of 8 weeks indicates severe spoilage and massive product wastage because a bakery handles perishable products.

Advise: mai should avoid ordering excessive bulk quantities just for minor discounts, set re-order levels and use FIFO to reduce shrinkage and spoilage of ingredients sitting on shelves for too long

v. **Inventory Turnover Ratio** $= \frac{\text{Cost Of Sales}}{\text{Average Stock}}$

$= \frac{10{,}782{,}000}{1{,}560{,}000}$

$= \underline{6.9 \approx 7 \text{ Times}}$

Interpretation: The business sold and replaced stock approximately 7 times in the year 2025

Analysis. A 7 times turnover rate ensures that you have sufficient stock on hand, so you rarely face out of stock Situations. However, it suggests that mai is over purchasing perishable ingredients which ties up her working capital in stock and lead to increased wastage

Advise: Mai should avoid ordering excessive bulk quantities just for minor discounts, set re-order levels and use FIFO to reduce shrinkage and spoilage of ingredients sitting on shelves for too long

vi. **Debtors Collection Period** $= \frac{\text{Debtors}}{\text{Net Sales}}$ x Number of Days

$= \frac{1{,}000{,}000}{24{,}700{,}000}$ x 365

$= \underline{14.7 \approx 15 \text{ days}}$

Interpretation: The business approximately took 15 days to collect money from debtors

Analysis. Because bakeries experience a rapid inventory turnover and need cash to buy fresh ingredients like flour, sugar, butter among others, a 15 day average collection period ensures you are not carrying outstanding invoices for too long and this eliminates short term financing to cover daily expenses.

Advise: to maintain and boost the bakery's average collection period, issue invoices immediately upon delivery, shorten the collection period to 7-14 days and automate polite but firm reminders to debtors.

vii. **Current Ratio** $= \frac{\text{Current Assets}}{\text{Current Liabilities}}$

Current Assets = Debtors + Stocks

= 1,000,000 + 1,300,000

= UGX. 2,300,000

Current Liabilities = Creditors

= UGX. 1,040,000

Current Ratio = $\frac{2,300,000}{1,040,000}$

= 2 : 2 : 1

Interpretation: The business catered for its current liabilities approximately 2.2 times using the current assets in the year 2025

Analysis. The bakery can easily cover all immediate bills and short term debts as they come due. Though a ratio above 2.0 can sometimes be a red flag for inefficiency because cash is simply accumulating in current assets rather than being used for marketing, expansion or upgraded equipment, it may not be working as hard as it could.

Advise: To maintain and boost this current ratio, mai has to focus on strict inventory management, accelerating cash collections and controlling short term debts

ITEM 15

a). an item taker is required to present the factors considered when selecting raw materials

Below are the factors to consider when selecting passion fruits;

i. **Quality of passion fruits.** Club members should select smooth, deep purple or golden yellow fresh passion fruits to enable production of quality juice.
ii. **Cost of the passion fruits.** The business should select passion fruits that are cheap to minimize production costs
iii. **Availability and reliability of the supplier of passion fruits**. Club members have to select passion fruits from a supplier who can supply anytime the fruits are needed to allow regular production to take place
iv. **Lead time of the supplier.** We should select passion fruits from a supplier who takes less time to deliver passion fruits ordered. This enables the business to plan well its production activities due to availability of fruit juice.
v. **Risk of damage.** The business has to select passion fruits with less risk of damage while in transit and store. To avoid wastage of resources hence minimizing production costs.

vi. **Distance between the supplier of passion fruits and the business.** The business has to select passion fruits from a supplier who is near the business to reduce transportation costs.

vii. **Impact of the passion fruits on the natural environment.** Club members should select passion fruits with less or no harm to the environment. This will enable the business to abide to the environmental laws

b). Item 16

CREAM BAKERS AND JUICE PROCESSORS
CASH FLOW STATEMENT
FOR THE MONTHS OF FEBRUARY, MARCH AND APRIL 2026

Details	February (UGX)	March (UGX)	April (UGX)
Balance b/f	300,000	398,000	446,000
Cash inflows			
Sales	600,000	600,000	600,000
Donation	300,000		
Loan		300,000	
Total Cash inflows	**1,200,00**	**1,298,000**	**1,046,000**
Cash Outflows			
Wheat Flour	112,000	112,000	112,000
Cooking Oil	120,000	120,000	120,000
Other Ingredients	200,000	200,000	200,000
Loan Repayment			100,000
Interest Payment			15,000
Charcoal Stove	50,000	50,000	50,000
Commission	80,000	80,000	80,000
Passion Fruits	240,000	240,000	240,000
Total Cash Outflows	**802,000**	**8520,000**	**917,000**
Net Cash Position	**398,000**	**446,000**	**129,000**

ITEM 16

a). an item taker is supposed to prepare a loan repayment schedule

EKYANGE BAKERS PROJECT
P.O BOX 122, KAMPALA
TEL: 0740432233
LOAN REPAYMENT SHEDULE

Principle: ugx 1,000,000
Payment period: 5months
Interest charged: 2% per month
Method: reducing balance

MONTH	PRINCIPLE INSTALLMENT PAYMENT UGX	INTEREST UGX	TOTAL MONTHLY PAYMENT UGX	PRINCIPLE OUTSTANDING BALANCE UGX	TOTAL OUTSTANDING BALANCE UGX
May	200,000	20,000	220,000	800,000	840,000
June	200,000	16,000	216,000	600,000	624,000
July	200,000	12,000	212,000	400,000	412,000
August	200,000	8,000	208,000	200,000	204,000
September	200,000	4,000	204,000	-	
TOTAL	1,000,000	60,000	1,060,000		

b). below are the ways how a store manager can manage machines well;

i. Covering the oven and other machines when not in use to avoid dust effects.
ii. Switching off the oven in case of any breakdown and reporting immediately to the patron to bring a technician to work on it.
iii. Making use of the closest power point when plugging in machines that use electricity like oven
iv. Making sure that the oven, dough mixer, baking trays are cleaned immediately after production
v. Checking the machines to find out whether they are in good conditions before they are switched on for use
vi. Training of club members on how to use the oven, the dough mixer and other equipment so that they don't mess up with machines.

ITEM 17

a). an item taker is supposed to present an income statement

LEAH FARM
INCOME STATEMENT
FOR THE YEAR ENDED 31ST DECEMBER 2025

DETAILS	UGX	UGX
Sales		278,898
Less cost of sales		(131,300)
Gross profit		147,598
Less expenses		(131,931)
Net profit		15,667

b). An item taker presents a balance sheet

LEAH FARM
BALANCE SHEET
AS AT 31ST DECEMBER 2025

Details	ugx	ugx	ugx
Fixed assets			1,128,808
Current assets			
Accounts receivables	34,556		
Inventory	14,506		
Cash	13,555		
Pre-paid insurance	5,556		
Total current assets		68,173	
Less current liabilities			
Short term loan	25,000		
Creditors	9,222		
Total current liabilities		34,222	
Working capital			33,951
Capital employed			**1,162,759**
Financed by:			
Capital	642,092		
Add net profit	15,667		
Equity capital		657,759	
Add mortgage		505,000	
Capital employed			**1,162,759**

ITEM 18

a) **An item taker is supposed to give the steps carried out when training workers**
Below is how Ndagire can equip her employees with skills

i. **Setting organizational objectives for training.** Ndagire should first set organizational objectives for training to enable her design a desired training program that can achieve the objectives set
ii. **Assessing the organization needs for training.** She should identify the training needs, that is to say, what's required to do the job, what's already possessed by the employee in order to identify the training gaps to be filled.
iii. **Setting training goals and objectives:** under this step, Ndagire should set the goals and objectives to be achieved by her employees by the end of the training session. This is to enable her assess at the end of the training to determine whether objectives were achieved or not.
iv. **Selecting the trainees.** This step involves Ndagire selecting the employees who are going to be trained basing on the skills, knowledge, attitudes motivations and expectations, so that training is able to close the performance gap of employees.
v. **Selecting the training methods.** Here Ndagire selects the method to use while training her employees and it should base on what to be trained and the nature of the job.
vi. **Selecting competent trainers.** Under this step she has to select individuals who are knowledgeable in the area of training to conduct it with an aim of bringing out its objectives hence making it effective.
vii. **Administering training.** This step involves the trainers equipping Ndagire's employees with cooking skills. It's a step where the actual training takes place.
viii. **Evaluating the training.** After administering training, Ndagire should evaluate it to check whether her employees acquired the skills she wanted and to see if they are in line with the set goals.

b). Below are the ways how Ndagire should deal with competition from queen Stacy Take Away,

i. **Improving the restaurant's image in the community.** This can be done by keeping the community clean, respecting the neighbors, employing from the community, sponsoring local events. This will help the business to win customer loyalty hence dealing with competition.
ii. **Advertising.** Ndagire can advertise her restaurant meals using radios, signposts, banners, posters, loud speakers. This will help her to inform the customers about the availability of the meals and where to find them hence winning customer loyalty and beating off competition.
iii. **Ensuring customers convenience in service delivery.** Ndagire should make it easy for her customers to order meals, make the payment process easy by

allowing both electronic payments and physical cash receiving, safe parking accessibility among others. This will help her win more customers from competitors.

iv. **Improving the quality of meals.** This can be carried out through using better ingredients, standard recipes, training employees, promoting hygiene in the production area. This will help her restaurant to get free marketing from customers hence when competition without copying.

v. **Improving customer care services.** This can be done through greeting customers, call them by their names if possible, using a simple tone while talking to them, use of a good body language, handling their complaints in time, showing honest, respect and giving feedback where need be. This will help the restaurant create loyalty that competitors can't buy.

vi. **Motivating the business employees.** Ndagire should pay her employees in time, give them respect, allow them to participate in decision making, train them, and listen to their complaints. This will enable the restaurant to have a low staff turnover, high sales and production of quality meals which will help the business to create customer loyalty.

c). an item taker is supposed to prepare a marketing plan.

NYAMA NSAVA RESTAURANT
P.O BOX 625
TEL: 0701234567

MARKETING PLAN

i. **Target market**. Nyama nsava restaurant sells its meals to people in kasangati town and the neighboring areas.
ii. **Meals offered**. The restaurant offers meals like posho, rice, matooke, kalo, potato, cassava, Irish together with beef, beans, chicken, groundnuts and peas.
iii. **Position of competitors**. The business has one direct competitor called Queen Stacy Take Away located in in the same region. Its strength lies in the ability to deliver meals in the entire kasangati region and its weakness is production of poor-quality meals.
iv. **Sales promotion and advertising strategies**. Nyama nsava restaurant advertises its meals through using posters which are pinned in kasangati and gayaza town. This has enabled the business to inform the community about its availability
v. **Pricing strategies**. Nyama nsava restaurant sets its prices depending on the cost of production of each meal.
vi. **Terms and conditions of sell**. The restaurant sells only on cash basis
vii. **Expected sales**. The restaurant expects to sell meals worth UGX 2,000,000 every week
viii. **Distribution channels**. The restaurant sells directly to its customers who eat at the business premises and also make deliveries to customers who make orders for delivery

ITEM 19

a). **an item taker is supposed to present the ways of motivating employees**

i. **Provision of good working conditions.** Kato should provide breakfast, lunch, and working gadgets like gloves to protect employees as they are working. This will motivate his employees to work hard for better productivity**.**
ii. **Offering fringe benefits to workers.** He can give his employees allowances like medical, transport, and housing. Such incentives will help the employees to concentrate and work hard for the benefit of the carpentry.

iii. **Ensuring job security for his employees.** Kato should give his employees one periodic contracts to to give them assurance that they are still part of the carpentry. This will inspire them to work hard for the betterment of the organization because they know they are still part of the carpentry.

iv. **Offering adequate and prompt payment to employees.** He can give his workers adequate salaries and on time which will make them happy hence encouraging them to work hard for better productivity.

v. **Training employees**. He can equip his employees with carpentry skills to increase their knowledge on how to produce carpentry products. This can be done through this can be done through coaching, seminars, promotions among others. This will allow workers to be flexible which increases productivity and efficiency of employees.

vi. **Promotion of hard-working employees.** Kato should promote his employees on merit. This will stimulate the effort of other workers in order to be promoted also hence improving productivity of the carpentry.

vii. **Involving workers in decision making.** Kato should give a chance to his employees to contribute and express their feelings in policy making meetings. This will make them part of the business hence increasing their productivity.

b). **an item taker should present the ways of advertising.**

i. **Television advertising.** Kato can take adverts to television stations like NBS, NTV, UBC among others where they will be processed and broadcast. This will make his carpentry known outside kiti

ii. **Radio advertising.** Kato can use radio stations like bukedde, star, simba galaxy, to make the public know about the business hence making it known outside kiti.

iii. **Loud speakers.** He can convey information about his beds verbally using a loud speaker placed on a vehicle. This will make people in areas where the vehicle will pass to know the business hence making it known outside kiti.

iv. **Specialty advertisement.** He can give free items like t. shirts, key holders, pens, cups bearing the business name, trademark and symbol to his customers. These items will be taken out in the community and other people outside kiti will get to know it.

v. **Celebrity advertisement.** Kato can use popular people like musicians, comedians, footballers or entertainers who a wide fan base to advertise his carpentry. Such people's adverts are seen by very many people hence making the carpentry known outside kiti.

vi. **Outdoor advertisement.** Here he can be able to use posters, banners, billboards which can be placed along heavy traffic roads for people to read hence knowing the business.

vii. **Door to door advertising.** Kato can employee a team of people who can move home to home, office to office advertising the carpentry products. This will increase the business market share and make it known outside kiti.

ITEM 20

a). an item taker presents factors considered when recruiting employees.

i. **Working experience of the person**. The person to be selected should have knowledge and skills of how to produce bakery products for at least 2 years so that fewer costs are incurred than hiring people who need to first be trained.

ii. **Age of the person.** A person between 18 to 35 years should be preferred because such people are energetic and more creative than old and minor people. This will enable production to be efficient and effective.

iii. **Cost of the person.** A cheap but efficient and productive person should be selected by the club to minimize wage bills and increase profitability of the project than expensive people who may not be cost effective.

iv. **Attitude of the person.** A person with a positive attitude towards work should be selected to increase efficiency of the club hence meeting customer demands.

v. **Health status of the person.** The club should select a person without severe sickness like Aids, diabetes, pressure so as to perform the club activities well and consistently.

vi. **Marital status of the person.** Someone who is not married should be selected because such people are committed to work and are flexible. This will enable regular production of bakery products.

vii. **Language spoken.** A person who is able to speak English should be selected because it's the official language used at school. This will promote effective communication in the production process.

viii. **Skills and abilities of the person.** A person who possesses bakery production skills should be selected to enable production of bakery products take place smoothly.

b). **an item taker is supposed to present sales promotion activities.**

i. **By offering discounts.** This can be done through slightly lowering the prices of bakery products forexample reducing the price of a chapat

by UGX 100 for customers who buy more than 10 chapattis once. This will attract students and boost sales.

ii. **Giving free samples of bakery products** to customers especially those when introducing new products on the market. This will attract customers to come and taste the product again hence buying.

iii. **Carrying out personal selling.** A team of club members can sell products dormitory to dormitory, class to class or office to office. This will attract customers to buy more hence increasing sales.

iv. **Being polite to customers.** This can be done through greeting customers, having a good tone while talking to customers, handling their complaints and giving them feedback. This will enable the club enable the club to attract new customers and improve the performance.

v. **Advertising.** This can be carried out through the use of posters and advertising on assemblies to inform the school about the availability of the business products hence attracting more students to purchase hence increased sales.

vi. **Giving free gifts to students** with the intention of creating the awareness of the availability of the product. This attracts customers to come and purchase hence increasing sales.

vii. **Producing quality products** that can meet customers needs through use of quality wheat flour. This will make the customers enjoy the products hence making them to come back and purchase more hence increased sales.

ITEM 21

a). **an executive summary for a school juice processing project.**

KAWOMERA JUICE PROCESSING PROJECT
P.O BOX 112, KASANGATI
TEL: 0701234567

EXECUTIVE SUMMARY

Back ground of the business. The business is owned by the senior six entrepreneurship students as a partnership business. It mainly sells juice.

Business location. It is located in Mawule village, Katadde parish, Nangabo subcounty, Kasangati town council in Wakiso distict along Kasangati Matuga road.

Products offered. Mango juice, orange juice, pineapple juice, passion fruit juice

An overview of the market. The business plans to open up another selling point at the A-level block

Competitive advantage. Sells high quality juice that lasts longer

Funding requirements. Plans to acquire a loan of UGX 1,000,000 from the school administration.

Key members of the business. All senior six entrepreneurship students

b). **an item taker is supposed to present the basis for market segmentation.**

Below are the reasons how the project identifies and understands the different customers before selling to them;

i. **Demographic way.** The project categories customers according to variables like age and income. Students are teens who look for pocket friendly, sugary and convenient grab and go juice flavors while teachers like less sugar juice
ii. **Social economic characteristics.** Here market is divided basing on culture and economic status of the students and staff, where by students who don't work need cheap juice while teachers who work consume quality expensive juice.
iii. **Product usage.** Here club members divide market according to the demand of juice by the targeted market.

iv. **Geographic way.** Here customers are categorized according to their dormitories where they sleep or classes where they study from (location)
v. **Psychographics way.** This is when the school project market is divided basing on students' life style, attitudes, opinions and personality.
vi. **Benefit of sought.** Here customers are divided basing on what they want to solve when they use the product.

ITEM 22

a). Students can obtain views and opinions of potential customers through preparing a market survey

A MARKET SURVEY FOR CREAM BAKERS
CREAM BAKERS
P.O BOX 11, KASANGATI
TEL: 0701234567

MARKET SURVEY GUIDE OR QUESTIONNAIRE

Cream Bakers shall be providing products like family bread, chocolate cakes, wedding cakes, chapattis and other bakery products.

Dear our Target customers, this document is prepared to find out your opinion about the bakery products to be produced by the business.

The information provided to us shall remain confidential and is for business use only.

Name of the Customer: .....
Sex: …… **Age:**……..
Class: …… **combination:** ……..
Religion: …….. **termly upkeep:** ……
Contact: ……

Which bakery products do you normally buy?
☐ Chocolate Cakes ☐ Family Bread ☐ Wedding cakes Others Specify: ……

What price are you willing to pay for our products?
Family Bread: ……..
Chocolate Cakes: ……
Wedding Cakes: ……..
Chapat:……..

How do you want to be informed about our bakery products?
☐ assembly ☐ sign post ☐ Posters Others Specify:
……

Where do you want to buy our products from?
☐ Business Premises ☐ Wholesalers ☐ Retailers

Who are the competitors in the area?
……

THANK YOU SO MUCH FOR YOUR RESPONSES
MANAGEMENT

b). below are the benefits of the document

i. **Tests the feasibility and viability of a business idea**. The document will help them to determine whether the bakery can be established using available resources and if it will provide good profits to club members.
ii. **Helps in securing funds**. Having such a document gives club members a much better chance of funds because financiers like the school administration and parents need to look at the document before issuing funds.
iii. **Helps in setting goals and objectives** which will serve as a bench mark for club members to measure whether the bakery is progressing or not.
iv. **It will act as a time table for implementing business activities** like production, marketing in a logical manner since it contains an action plan.
v. **Financial clarity and capital management.** The document outline startup costs and projects cash flow which will help club members to identify break even points to ensure the project remains financially sustainable.
vi. **Helps to know the target market.** The document will help the club members know the customer base they are to serve preventing wasteful spending on ineffective marketing
vii. **Operational efficiency.** The document will help club members to define the standard operating procedures, role assignments and supply chains ensuring the daily running of that bakery doesn't disrupt regular school operation.